

Looking in Bangalore

You are way off the mark if you thought e-cash was unavailable in India. Many Indian Web sites have been toying around with the idea of e-cash for quite some time now. One of them that managed to get it right is www.lookforgreen.com. This Bangalore-based site makes use of Green cards, which you have to buy from retail outlets. While the registration of user accounts is free, the accounts are charged through the Green cards. These cash cards are available in denominations of Rs 100, Rs 250 and Rs 500.



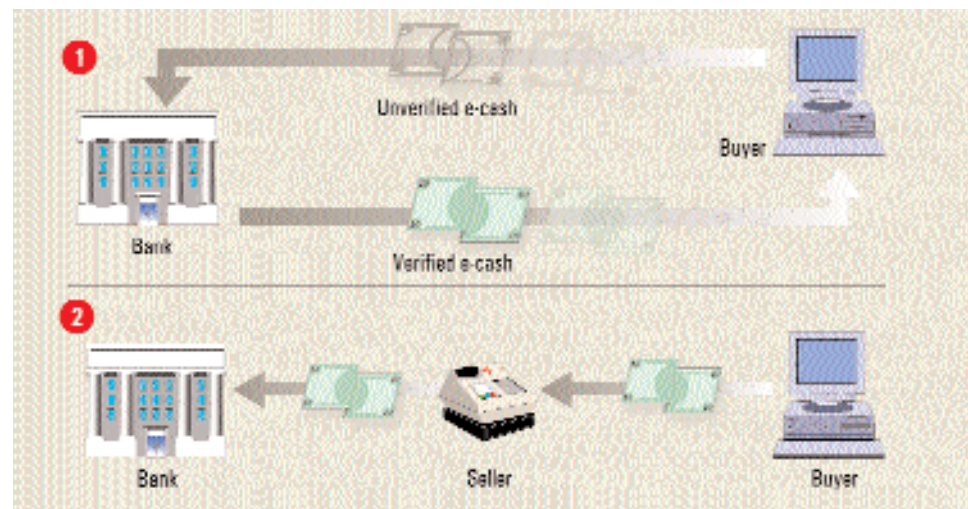
One Green is equivalent to one Indian rupee. After getting the card, you can charge your account by logging in and entering the value code on the card.

Lookforgreen.com has tie-ups with major Indian portals such as Fabmart, Rediff, Archiesonline, Eguru-cool, Sifymall, etc for online shopping. These sites support payment using the Green system. The money is withdrawn from your account when you enter your account information using the Green icon on the site. The site also facilitates the transfer of Green from your account to another account. As of now, the retail shops that you can buy Green cards from are available only in Chennai, Hyderabad and Bangalore.

Micropayments

When you need to make small payments, say, Rs 3 for vegetables or Rs 19 for a single MP3 track online, you wouldn't generally use credit cards to pay up. Why? Simply because the service charge of the credit card provider on the transaction is more than the price. To add to that, the process is complex. No one wants to sign a bill or fill up a registration form for a small transaction.

Micropayments is a concept that was developed for payments below \$5. It is a slight variation on the concept of e-cash, with similar advantages of anonymity, security, etc. The difference is that here an intermediary is required (say a bank as in figure 1) who processes the transactions and deducts it from the user's account. All transactions between the two parties have to go through this intermediary.



time in the near future. It will take at least six to seven years before e-cash can replace the money standard in online transactions. There are several factors inhibiting the growth of e-cash at present.

The first block to e-cash is acceptance. Why is paper money so popular? Simple. Everyone accepts it. Anywhere in the world, paper money is the standard means of trade. Credit cards have been around for more than 30 years but still haven't been able to replace cash completely. Before you conduct a transaction, you need to ensure that the store accepts the credit card you use. The same is true for e-cash. The e-cash that you receive from Flooz.com would not be valid for purchases on sites that support Beenz currency.

This brings us to the issue of common standards. As of now, there is no single, universally acceptable standard for e-cash. Some e-cash providers give it out in the form of gifts, whereas others require you to purchase it. Till the time that e-cash providers come up with a common standard by which an issuer's e-cash units are accepted by others, the future of e-cash looks bleak. However, many e-cash providers are working together to solve this problem and if they pull it off, e-cash will become a reality.

Next comes the question of ease of use. Come on, how many of us would like to go through the tiresome process of registering and logging onto

sites when we need something as simple as a book or a shirt? Most people would prefer to pick it up from the corner store. Simplicity of use is of paramount importance before e-cash makes it big.

But the biggest blow is yet to come. Governments and banks simply do not like e-cash! Why? They object to the anonymous nature of e-cash transactions. It would be very difficult to prevent tax evasion and money laundering if e-cash transactions were to become common. This in a way explains why e-cash is taking so much time to develop.

The software slowdown has proved to be yet another spanner in the works as far as e-cash is concerned. One of the major casualties was the e-cash pioneer DigiCash, which downed its shutters recently. Even big names such as Flooz.com and Beenz.com are having a hard time surviving. How much these e-cash issuers are going to pick up or whether they will even survive is yet to be seen. At present, it seems as if this slowdown is going to set the growth of e-cash back by at least a couple of years.

Well, nothing did ever come easy and these roadblocks could be seen as part of the evolutionary process for e-cash. E-cash providers are sure to find a way out of these thorny issues. So keep the faith folks, you may soon be changing the way you shop...with e-cash! ■